

Entero Healthcare: Building the Highways of Indian Pharma

Scaling through consolidation, richer product mix, smart bolt-ons, and optionality from innovator drugs + the coming GLP-1 boom.



INFLECTION POINT RESEARCH

AUG 28, 2025



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Every industry has its invisible backbone. In Indian healthcare, that backbone is distribution. Medicines don't magically appear at a neighbourhood chemist or a tie hospital. They travel through a patchwork of distributors, wholesalers and regional operators. This patchwork, until recently, was fragmented beyond belief; thousands family-run outfits with limited technology, inconsistent service and tiny scale.

Key Challenges in the Pharmaceutical Supply Chain



Pharmaceutical and Healthcare Products Manufacturer / Marketer



Complexity of dealing with multiple sub-scale distributors



Limited or no secondary sales data visibility and analytics



No direct reach to retailers, leading to poor implementation of secondary promotional offers



Inadequate storage infrastructure



High expiries due to multiple stock points and no data visibility

Distributors



Highly fragmented and competitive market



Limited scale and inefficiency of operations



Limited access to capital, technology, and management bandwidth

Retailers



Lower fill rate due to space and storage limitations



Complexity of dealing with high number of distributors



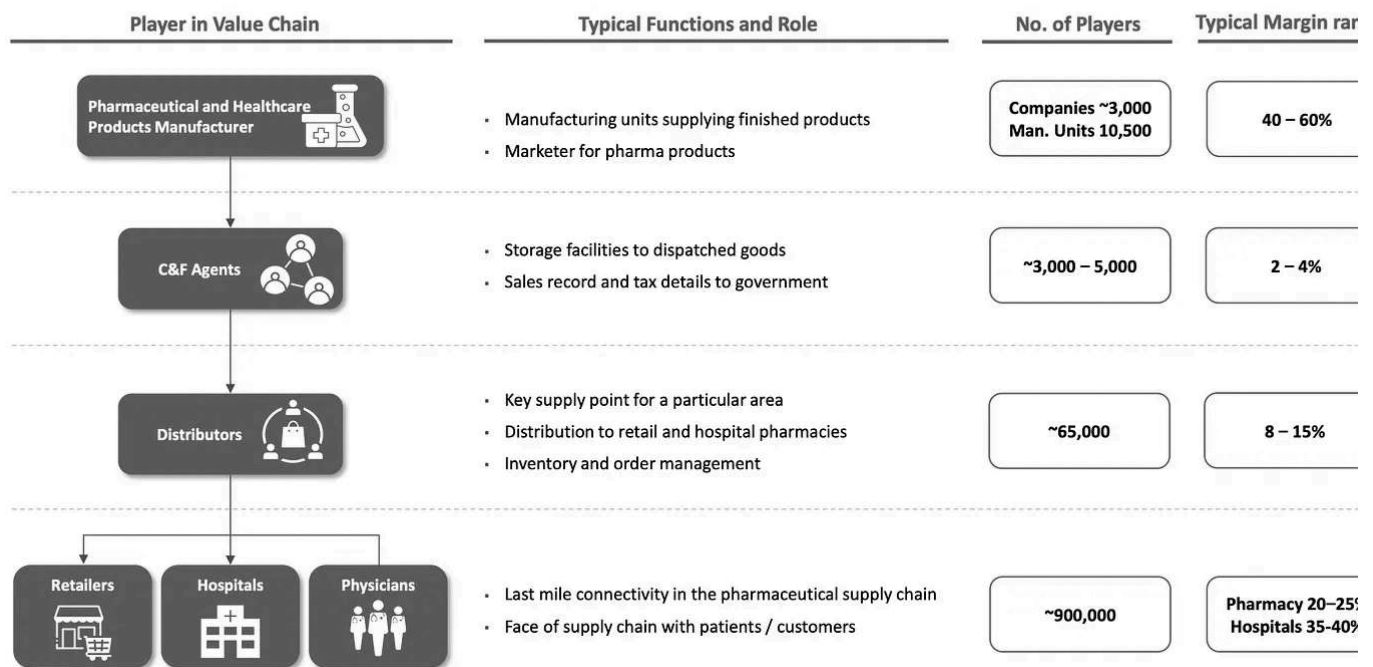
Manual ordering and inventory management due to minimal technological intervention



Lack of transparency in promotion offers / benefits

India is witnessing a shift from standalone/traditional distributors to large/national distributors having a wider presence, backed by market consolidation and the need for a reliable and scalable supply channel

Pharmaceutical Supply Chain in India is Highly Fragmented



Entero Healthcare, founded in 2018 by Prabhat Agrawal (ex-Alkem) and Prem Sethi (ex-IQVIA), saw an opportunity in that mess. The idea was simple: consolidate the pieces, professionalise operations, build a tech layer, and over time, become the national distributor of choice. In just seven years, Entero has stitched together more than 45 acquisitions, integrated over 76,000 SKUs across pharmaceuticals, medical devices, nutraceuticals, consumables and vaccines, and now serves more than 86,000 pharmacies and 3,200 hospitals.

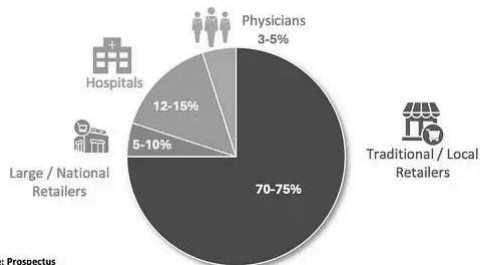
Healthcare Products Distribution Market Overview



Large and Growing Target Addressable Market...



Industry Dominated by Traditional Local Retailers



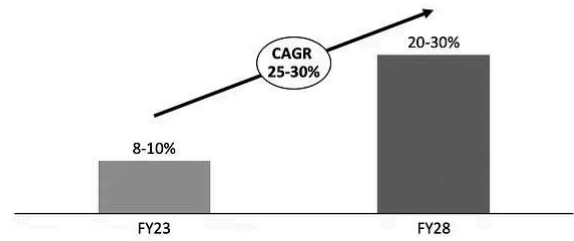
Source: Prospectus

Note:

(1) Target Addressable Market is with respect to pharmaceutical and medical devices (including hospital supply of medical devices and consumables)

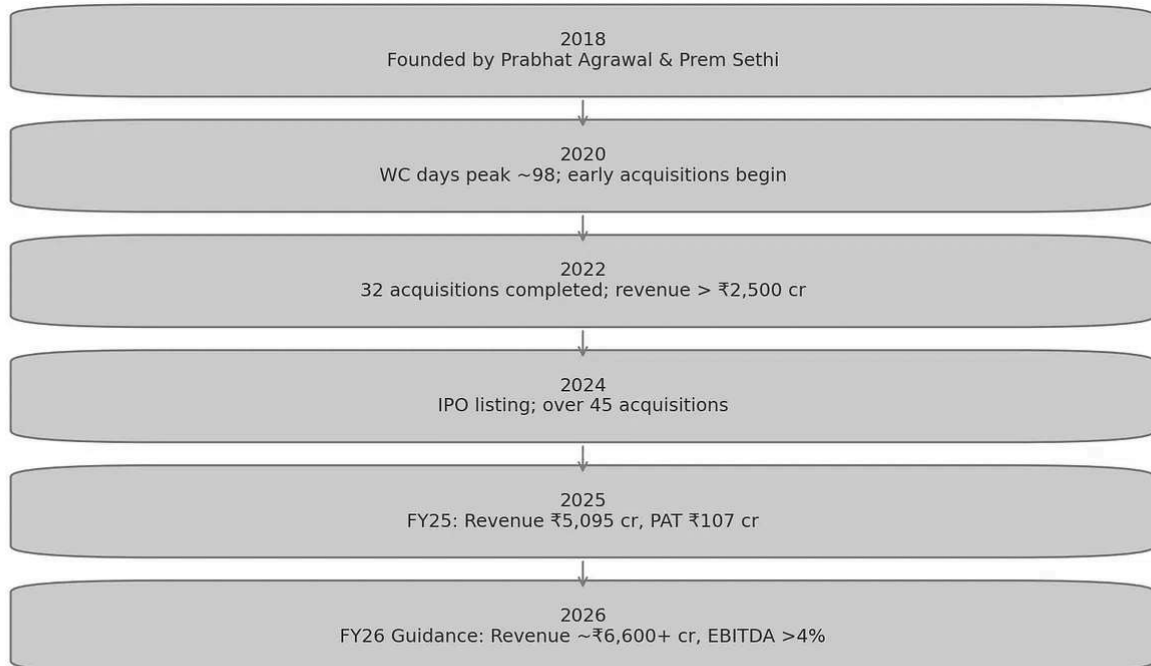
...Led by Increasing Share of Large / National Distributors

Share of the total distributor sales for Large / National pharmaceutical distributors



Key Trends

- Consolidation in the distribution industry
- Technological advances to support operational efficiencies in distribution
- Micro-market and regional data opportunities
- Higher demand for surgical and medical devices
- Increasing government focus on generics to further support distributors
- Omnichannel adoption to improve demand for pharmaceutical distribution



From Zero to Scale

When Entero started, its footprint was tiny compared to entrenched regional players. The founders, backed by OrbiMed and later IM Investments, went on an aggressive acquisition spree. By FY22, after 32 acquisitions, Entero was already doing over ₹2,000 crore in revenues. Today, revenues have crossed ₹5,000 crore, and the company has emerged as one of the top three distributors in the country alongside Keimed and Ascent.

Successful track record of Acquisitions and Integration



Acquisition Strategy



› Take advantage of market consolidation opportunities available



› Pan-India approach towards acquiring and integrating smaller distributors



› On-ground acquisition team to identify acquisition opportunities



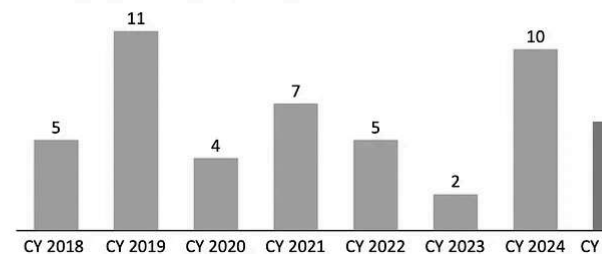
› Integration and growth approach replicable in existing and new geographies

Given our acquisition track record, we have been able to continuously attract distributors to integrate with us

Track Record of Growth of Acquired Companies

Distributor Name	Date of Acquisition	Location	FY21-23 Growth
R.S.M Pharma	14-Aug-2018	Bengaluru	~69%
Getwell Medicare Solution	26-Dec-2018	Kochi	~66%
Galaxystar Pharma Distributors	21-Feb-2019	Mumbai	~60%
Vasavi Medicare Solutions	31-May-2019	Coimbatore, Madurai	~88%
Millennium Medisolutions	07-Aug-2019	Gurugram	~61%
Sesha Balajee Medisolutions	13-Jan-2020	Visakhapatnam	~66%

50* Acquisitions Since Inception

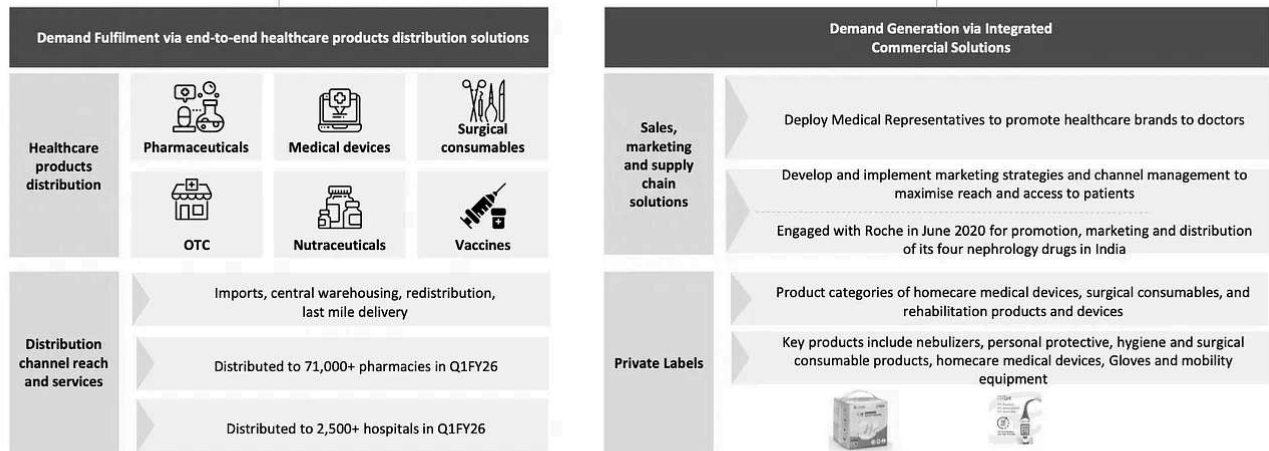


The growth has not been just about size. With each acquisition, Entero has absorbed customer relationships, distribution contracts, and local networks, but layered these onto its centralised ERP, CRM and data systems. This allowed it to offer something that regional players could not- predictability, inventory visibility, fill rates and analytics. For manufacturers, Entero became more than a distributor. It became a partner that could handle product launches, provide secondary sales data, support hospital reach, and even run loyalty programs for pharmacies.

Differentiated Business Model



Offers both demand generation and demand fulfilment capabilities to healthcare brands and product manufacturers



Our Demand generation and demand fulfilment solutions are integrated across the value chain, and we benefit from synergies arising from our wide customer network, distribution infrastructure and geographic reach

How the Business Makes Money

Entero at a Glance



Geographical Reach of Distribution Network



Customers

71,000+
Retail Pharmacies catered to

2,500+
Hospital customers

2,600+
Supply relationships w healthcare product manufacturers

Scale of operations

5,83,132
Total Warehouse area (sq ft.)

102
Warehouses

~74,700+
SKUs handled

Presence

469
Districts covered

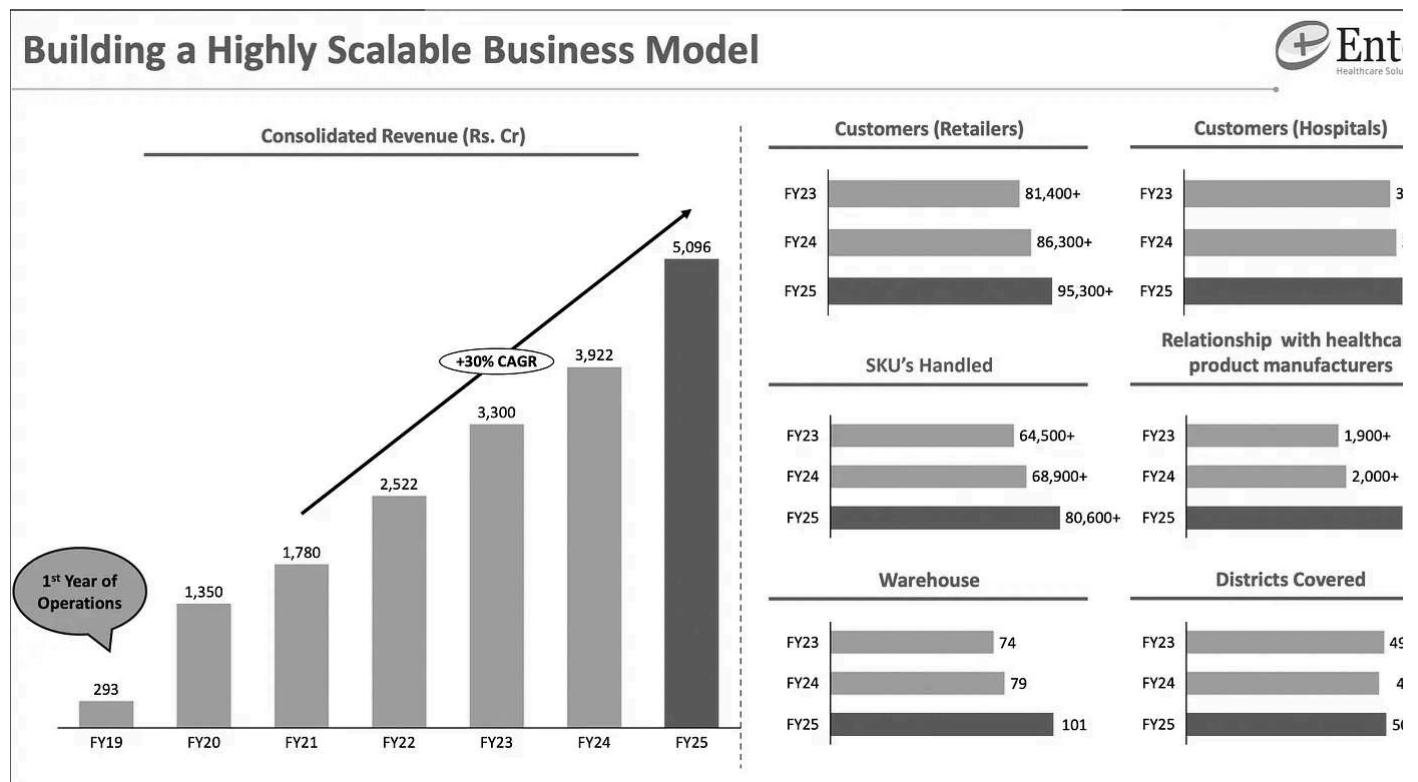
45
Cities

19
States

Notes:

1. Maps not to scale. All data, information, and maps are provided "as is" without warranty or any representation of accuracy, timeliness or completeness
2. As on 30th June 2025

At its core, Entero earns through margins on distribution. But unlike traditional players, it has diversified into segments that carry higher gross profit. Branded generics, private labels, diagnostics and surgical consumables, medical devices and value-added services are now meaningful contributors. In Q1 FY26, devices alone contributed 4–5% of revenue, a figure that is expected to grow. The partnership with Roche is an example of how innovator and specialty pharma companies are leaning Entero's reach.



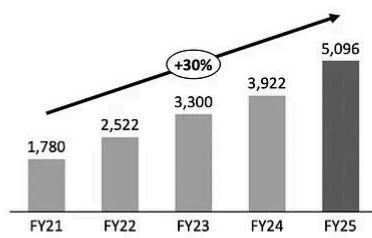
The Numbers So Far

In FY25, Entero reported revenues of ₹5,095 crore, up 30% year on year. EBITDA stood at ₹171 crore, a margin of 3.4%. PAT grew 170% to ₹107 crore. Q1 FY26 continued the momentum, with revenue of ₹1,404 crore (+28% YoY) and PAT of ₹30 crore (+47% YoY). Gross margins improved from 9.0% to 9.9% over the year, showing the impact of mix shift and procurement efficiencies.

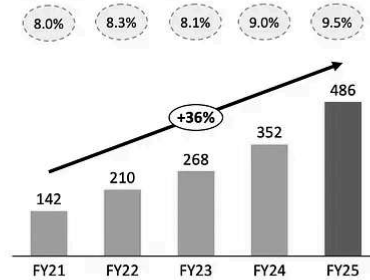
Historical Financial Highlights



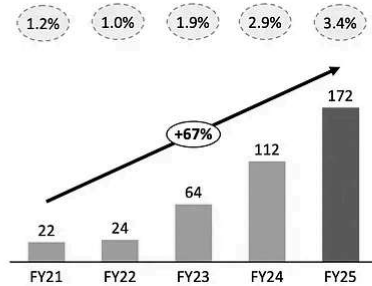
Revenue (Rs. Cr)



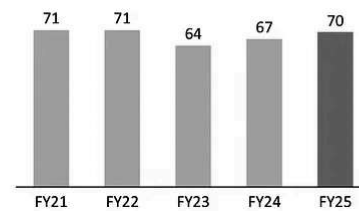
Gross Profit (Rs. Cr) and Margin (%)



EBITDA (Rs. Cr) and Margin (%)

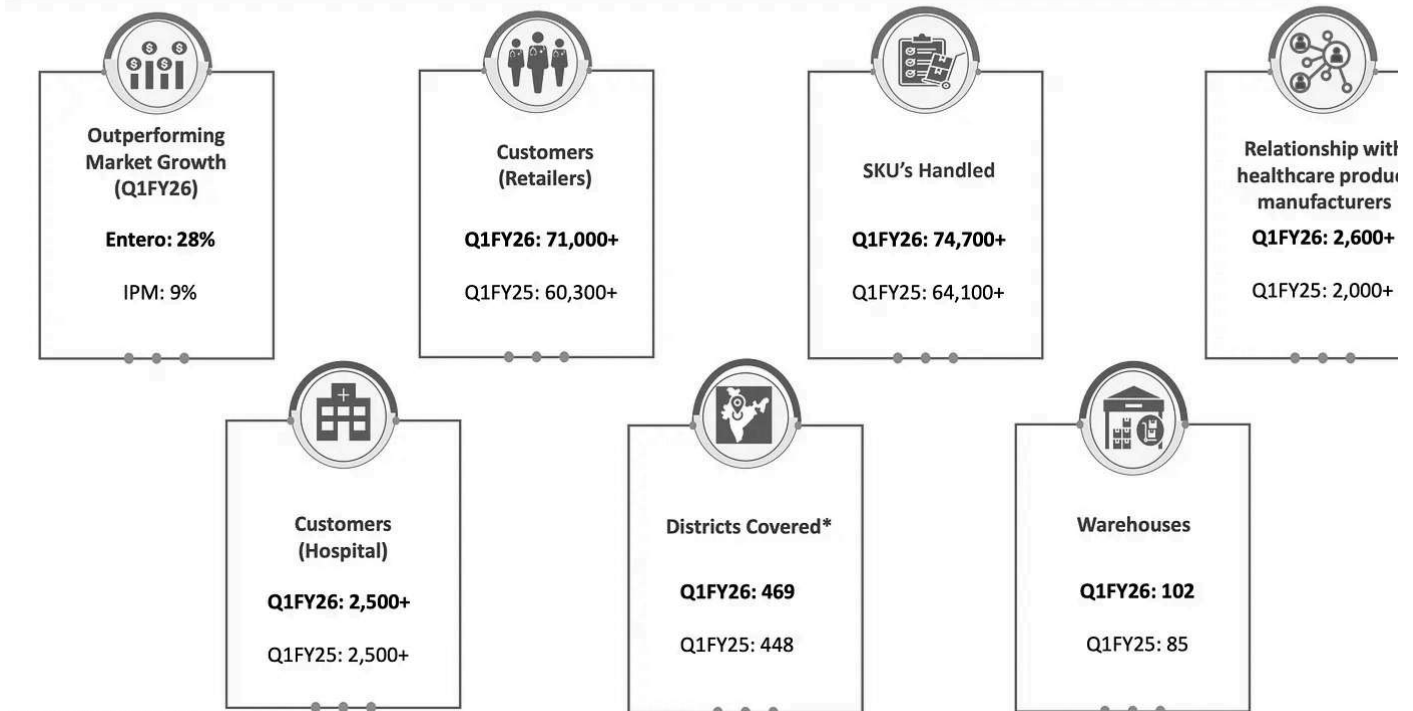


Net Operating Working Capital (Days)*

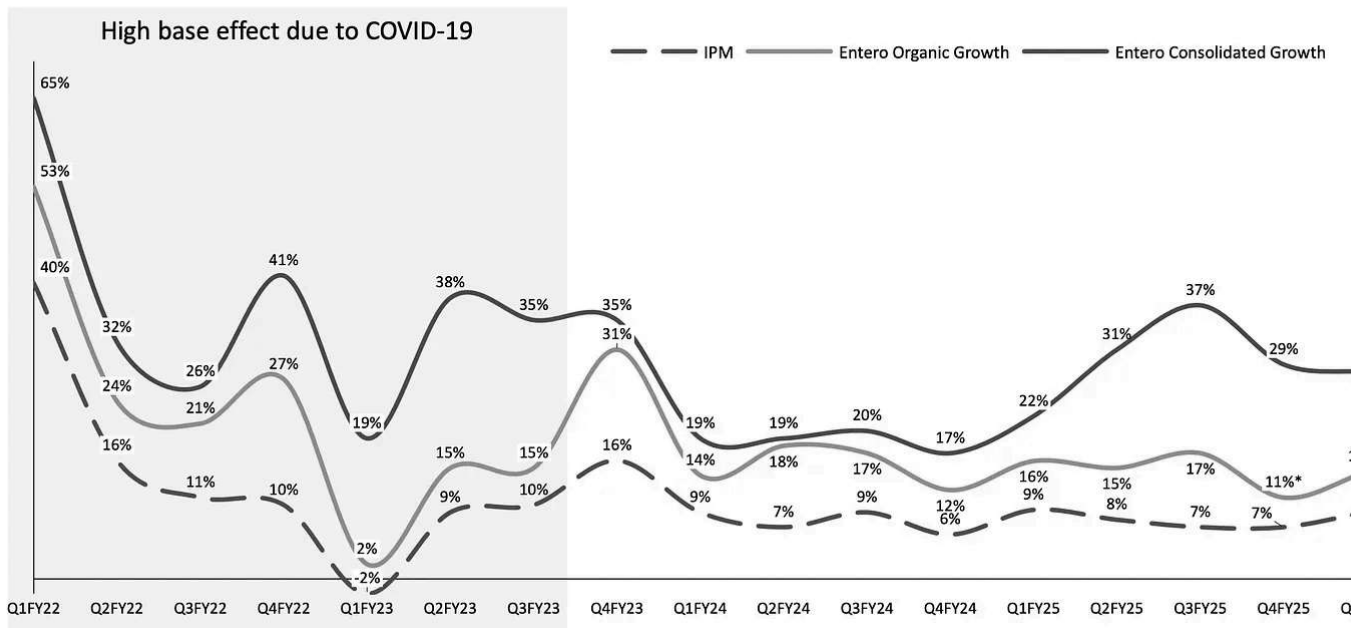


Working capital days, once as high as 98 in FY20, are now around 66, with management guiding to 60 by FY27. Finance costs have fallen from ₹59.9 crore in FY20 to ₹33.4 crore in FY25, helped by IPO proceeds and better credit terms. Return ratios are slowly ticking up, with ROCE at 10.7% in FY25 and targeted to move past 15% in the coming years.

Operational Highlights



Growing faster than Industry... Gaining Market Share

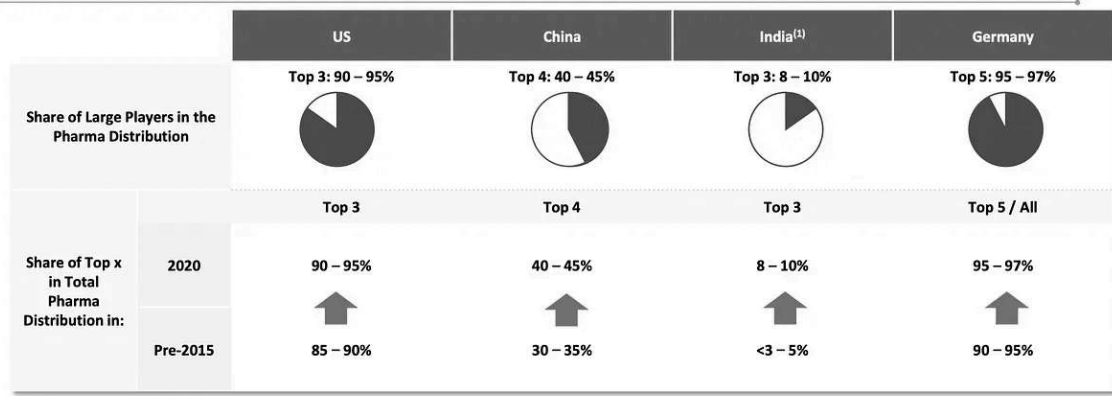


What Drives the Next Leg

Several levers can keep Entero on its growth path:

- **Consolidation runway:** In a ₹3.3 trillion distribution market growing at 10–11% annually, national players still hold less than 10% share. Even without heroic assumptions, Entero's market share can double over the next five years.

Highly Fragmented Market... to Accelerate Consolidation



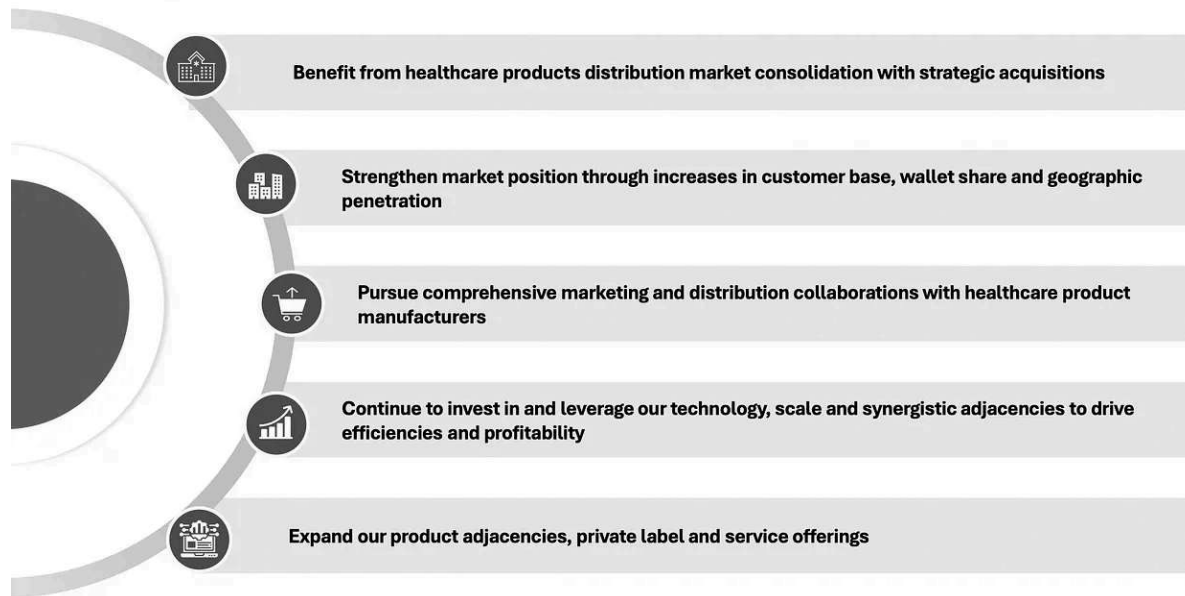
Market Consolidation is expected in India with share of large / national distributors expected to rise to 20-30% by FY28 supported by multiple factors and Entero is expected to benefit from this trend



Source: Prospectus

- **M&A:** Management expects to add around ₹4,000 crore of acquired revenues over the next five years, at attractive valuations of 0.3–0.35x sales.
- **Margin expansion:** Procurement scale, operating leverage and higher share of devices, diagnostics, generics and private labels can lift EBITDA from 3.4% to 5%+.
- **Proxy on innovator growth:** As biologics, oncology and specialty drugs grow faster than the broader market, distributors with hospital channels and cold-chain capability will capture value.
- **Proxy on GLP-1 wave:** The obesity and diabetes drug revolution that has gripped the West will eventually enter India. When it does, the complexity of distribution and hospital stocking will reward players like Entero.
- **Technology:** Entero Direct, its pharmacy ordering platform, along with analytics and loyalty programs, deepens customer stickiness.

Key Growth Drivers



The Investment Case

The thesis rests on three simple points. One, Entero is consolidating a massive and fragmented industry with clear structural tailwinds. Two, margins are set to improve materially as the business mix changes. Three, working capital improvements can transform returns and cash flows.

One of India's Largest & Fastest Growing Healthcare Supply Chain Company



Geographical Reach of Distribution Network



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2. As on 30th June 2025.

Distribution Presence

19 States

45/469 Cities/Districts

Customer Network

71,000+ Retail Pharmacies catered to

2,500+ Hospital customers

Warehouse Infrastructure

102 Warehouse Locations

5,83,132 Aggregate size (Sq ft)

Breadth of Offerings

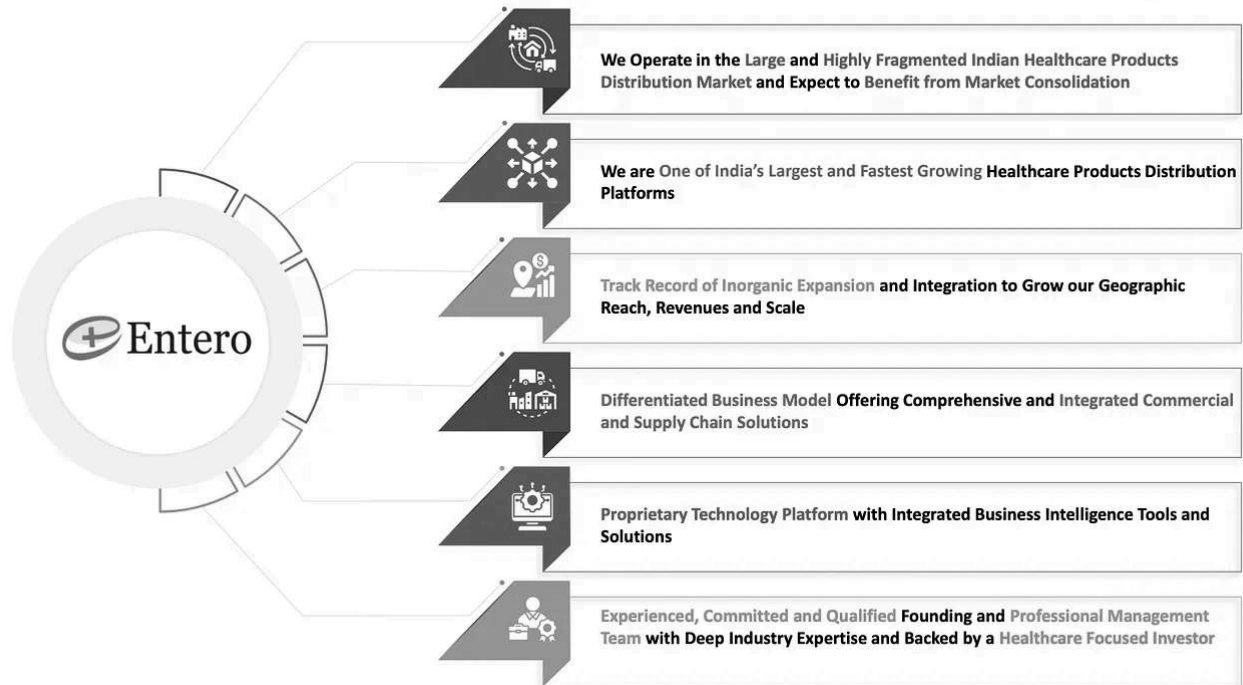
2,600+ Healthcare product manufacturer relationships

74,700+ SKUs

The risks are equally clear. Integration of dozens of acquisitions is not easy. Competition from Keimed, Reliance-backed Ascent and e-pharmacies is intensifying. Regulatory price caps or compliance missteps can hurt margins. And finally, valuations. At ~50x trailing P/E, the market has already priced in a fair degree of success.

If Entero can grow revenues at 20–25% annually, lift EBITDA margins above 5%, and normalise working capital to 60 days, PAT could reach ₹400 crore by FY28. At a 30x multiple, that implies a ₹12,000 crore market cap — more than double today. But the bridge from here to there requires flawless execution.

Key Strengths



Closing Thoughts

Entero is not just another distributor. It is building the highways of Indian pharma, absorbing fragmented lanes into a single network, and using technology to pave smoother, faster roads for medicines to travel. The company sits at the crossroads of consolidation, innovation and rising healthcare consumption in India. For investors, it is a bet on execution, and on the quiet but essential role of distribution in shaping the future of healthcare.

Disclaimer- This post is made for educational purposes only and should not be construed as investment advice.

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